Homework 9 · Simple & compound interest

OnMaths · Isabella · Year 8 Set 2 · Mr Ali · Calculator allowed · 10 marks

1. £250 is invested at 4% simple interest for 5 years. Work out the total amount after 5 years. **(2 marks)**

Answer: _____

2. Write down the multiplier for a 3.5% increase. **(1 mark)**

Answer: _____

3. £800 is invested at 5% compound interest per year. Work out the total after 3 years. Give your answer to the nearest penny. **(2 marks)**

Answer: _____

4. A phone is worth £600. It loses 25% of its value each year. Work out its value after 2 years. **(2 marks)**

Answer: _____

5. Mia invests £4000 for 4 years. Bank A pays 3% simple interest. Bank B pays 2.5% compound interest. Which bank gives Mia more money, and by how much? **(3 marks)**

Answer: _____

Show your working. Money answers to 2 decimal places.